The doctrine of precedent (or the doctrine of stare decisis) is an English doctrine. According to this doctrine, the lower courts are bound by the decisions of the higher courts. Therefore, in Britain, every court is bound by the decisions of the House of Lords.

It is a settled principle of law that a judgment, which has held the field for a long time, should not be unsettled. The doctrine of stare decisis is expressed in the maxim "stare decisis et non quieta movere", which means "to stand by decisions and not to disturb what is settled." Lord Coke aptly described this in his classic English version as "those things which have been so often adjudged ought to rest in peace." The underlying logic of this doctrine is to maintain consistency and avoid uncertainty. The guiding philosophy is that a view which has held the field for a long time should not be disturbed only because another view is possible.[45]

The above point has been aptly described by the former Chief Justice Chandrachud in the following way[46]:

"It is sufficient for invoking the rule of stare decisis that a certain decision was arrived at on a question which arose or was argued, no matter on what reason the decision rests or what is the basis of the decision. In other words, for the purpose of applying the rule of stare decisis, it is unnecessary to enquire or determine as to what was the rationale of the earlier decision which is said to operate as stare decisis."

2. Basis of the Doctrine

The doctrine of precedent has been incorporated in Article 141 of the Constitution. According to this provision, the law declared by the Supreme Court shall be binding on all courts within the territory of India. Hence, all the courts and tribunals including the High Courts in India are required to follow the decisions of the Supreme Court.

The Supreme Court has explained the significance of Article 141 of the Constitution in the following way[47]:

"When the Supreme Court decides a principle it would be the duty of the High Court or a subordinate court to follow the decision of the Supreme Court. A judgement of the High court which refuses to follow the decision and directions of the Supreme Court or seeks to revive a decision of the High Court which had been set aside by the Supreme Court is a nullity."

According to the Supreme Court, it is impermissible for the High Court to overrule the decision of the Apex Court on the ground that the Apex Court laid down the legal position without considering any other point. The Court further emphasized that it is not only a matter of judicial discipline for the High Courts in India, but also a mandate of the Constitution as provided in Article 141 that the law declared by the Apex Court shall be binding on all courts in the country[48].

Apart from Article 141 of the Constitution, the policy of courts is to stand by precedent and not to disturb settled point. When court has once laid down a principle of law as applicable to certain state of facts, it will adhere to that principle, and apply it to all future cases where facts are substantially the same. A deliberate and solemn decision of court made after argument on question of law fairly arising in the case, and necessary to its determination, is an authority, or binding precedent in the same court, or in other courts of equal or lower rank in subsequent cases where the very point is again in controversy[49].

3. Rationale of the Doctrine